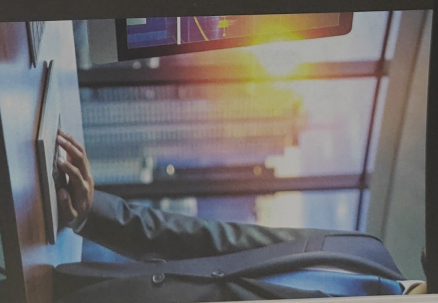


Self Assessment Test 5

1. (a) Setting of performance standards
(b) Measurement of actual performance
(c) Comparison of actual performance with standards
(d) Management by Exception (MBE) is a managerial approach in which managers identify and address significant deviations or exceptions from standard performance. Instead of monitoring all areas equally, the regional manager focuses on areas where on exceptional results are either significantly from established standards.
2. (a) Critical Path Control: It involves closely monitoring specific key performance indicators (KPIs) or KRA's that have a significant impact on overall business performance. Managers use this technique to identify critical points where immediate action is necessary to prevent a crisis.
(b) Improving employee motivation
3. (a) Accomplishing organisational goals
(b) Ensuring Order and discipline
(c) Making efficient use of resources
(d) Improving employee motivation
4. **Hint: Controlling**



Unit 9

FINANCIAL MANAGEMENT

Ans. False. Whenever possible, measurement of work should be done during the performance.

Q.28 In case of assembling task, each part produced should be checked before assembling. Similarly, in a production line, each article in the air could be continuously monitored for safety.

Ans. Measurement of actual performance whenever possible, measurement of work should be done during the performance.

Q.29 What step of controlling process and its aspect has been highlighted in our above example of an employee who requires preparation of a report by his superior. *(Fill in the blank with a correct answer)*

Ans. Performance report.

Q.30 Measurement of a company's performance may involve comparison of its actual performance with its performance in the past. *(Fill in the blank with a correct answer)*

Ans. Given point ratio, set point ratio, return on investment, etc.

Q.31 Progress of work in certain operating areas like marketing may be measured by considering _____. *(Complete the sentence)*

Ans. The number of units sold, increase in market share, etc.

Q.32 Efficiency of production may be measured by _____. *(Complete the sentence)*

Ans. Counting the number of pieces produced and number of workers engaged in the production.

Q.33 In a large process in a hotel, effective controlling each place produced must be checked to ensure that it conforms to quality specifications laid down for the product. *True/False?* Give reason.

Ans. False. The might not be possible in case of a large organisation.

Q.34 The number of units sold, increase in market share, etc. are the critical points which are critical to the success of an organisation. *(Fill in the blank with a correct answer)*

Ans. Simple checking in the controlling process involves comparison of actual performance with standard. Such comparison will reveal _____. *(Complete the sentence)*

Ans. the deviation between actual and desired results (or the gap between the two qualities). *(Fill in the blank with a correct answer)*

Q.35 In the controlling process, it is important to determine the acceptable range of deviation because _____. *(Complete the sentence)*

Ans. some deviation in performance can be expected in all activities. This is known management by exception control.

Q.38 Control is a key area of business need to be attended as it is known as _____. *(Fill in the blank with a correct answer)*

Ans. Critical Point control.

Q.39 Control should focus on key result areas (KRAs). Why are they critical to the success of an organisation? *(Complete the sentence)*

Ans. It is neither economical nor easy to keep a check on all and every activity in an organisation.

Q.40 In organisation, _____ are set as the critical points for the entire organisation. If any deviation is observed, the entire organisation suffers. *(Fill in the blank with a correct answer)*

Ans. Key result areas (KRAs).

Q.41 It is neither economical nor easy to keep a check on all and every activity in an organisation. Control, therefore, is critical to the success of an organisation. These KRAs are set as the critical points. If any deviation is observed, the entire organisation suffers. *(Fill in the blank with a correct answer)*

Ans. The technique/principle of management control is exception/critical point control. *(Choose the correct option)*

Q.42 _____ is an important principle/technique of management control based on the belief that an organisation can control everything results in controlling nothing. *(Fill in the blank with a correct answer)*

Ans. Management by exception.

Q.43 Only significant deviations which are beyond the permissible limit/ acceptable range should be brought to the notice of management. The technique/principle of management control highlighted above is _____. *(Fill in the blank with a correct answer)*

Ans. Management by exception (or control by exception).

Q.44 _____ identifies critical problems which need timely action of management to keep the organisation in right track. *(Fill in the blank with a correct answer)*

Ans. Critical point control.

Q.45 The routine tasks are left to the subordinates and increase morale of employees. *(Management by exception/critical point control). (Fill in the blank with a correct option)*

Ans. Management by exception.

Q.46 _____ saves the time and effort of managers in identifying significant deviations. *(Fill in the blank with a correct answer)*

Ans. Management by exception.

Q.47 The final step in the controlling process is _____. *(Complete the sentence)*

Ans. Taking corrective action.

Q.48 Immediate corrections from the standards is demand immediate corrections on the part of the department. *True/False?* Give reason.

Ans. False. No concrete action is required when the deviations are within acceptable limits.

Q.49 Which two steps in the process of controlling are essential with compelling events to conform to the plan?

Ans. (i) Comparison of actual performance with standards.

Q.50 (ii) Taking corrective action. You are the manager of M/s. Chemicals Ltd. It is reported that the cost of raw materials has increased by 20%. Which of the two deviations will be more critical to you?

Ans. Increase in cost of raw materials by 20% is more critical.

Q.51 Name the function of management which is concerned with monitoring organisational performance towards the attainment of organisational goals.

Ans. Controlling.

Q.52 Name the function of management which reviews the operations in a business unit.

Ans. Controlling.

Q.53 Give two aspects of performance are compared in standard performance to find out deviations, if any.

Ans. Actual performance and standard performance.

Q.54 Which principle of management control is based on the belief that an attempt to control everything results in controlling nothing.

Ans. Management by exception.

Q.55 KRAs are the critical points which are critical to the success of an organisation. Which management by exception.

Q.56 Which principle of management control is based on the belief that an attempt to control everything results in controlling nothing.

Ans. Management by exception.

Q.57 Why is it said that controlling is blind without planning?

Ans. Controlling is like a person's eyes to find out deviations from the standards. In that sense, controlling is a backward-looking function.

Q.58 Why is it said that planning without controlling is meaningless as well as in qualitative terms. Identify the type of standards when it is set in terms of Cost to be incurred.

Ans. Key Point Area (KPA).

Q.59 Why is it said that controlling is blind without planning?

Ans. Controlling is like a person's eyes to find out deviations from the standards. In that sense, controlling is a backward-looking function.

Q.60 Why is it said that planning without controlling is meaningless as well as in qualitative terms. Identify the type of standards when it is set in terms of Cost to be incurred.

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Ans. Key Point Area (KPA).

Q.69 Why is it said that controlling is blind without planning?

Ans. Controlling is like a person's eyes to find out deviations from the standards. In that sense, controlling is a backward-looking function.

Q.70 Why is it said that planning without controlling is meaningless as well as in qualitative terms. Identify the type of standards when it is set in terms of Cost to be incurred.

Ans. Key Point Area (KPA).

(a) Defective machinery	(i) Defective machinery	(ii) Change the material used for the machinery used	(iii) Repair the defective machinery
(b) Defective process	(i) Defective process	(ii) Modify the existing process	(iii) Improve the physical condition of the process

HOTS (Higher Order Thinking Skills) Based Questions



Q3. Is it easier to identify an organization's strategy than to implement it? Why or why not?
 Ans. The answer to this question is in the affirmative. It is easier to identify an organization's strategy than to implement it. The reason for this is that identifying a strategy is a relatively straightforward task, while implementing a strategy is a complex and often difficult process. Identifying a strategy involves understanding the organization's mission, vision, and goals, and then determining the best way to achieve them. Implementing a strategy, on the other hand, requires a deep understanding of the organization's internal and external environment, as well as the ability to coordinate and manage a large number of people and resources.

Q4. What are the key factors that influence an organization's strategy?
 Ans. The key factors that influence an organization's strategy are its mission, vision, and goals. These factors provide the organization with a clear sense of direction and purpose, and they serve as the foundation for all of its strategic decisions. Other factors that can influence an organization's strategy include its internal capabilities, its external environment, and its competitive position.

Q5. How can an organization ensure that its strategy is effectively implemented?
 Ans. An organization can ensure that its strategy is effectively implemented by following a number of key steps. First, it should clearly define its mission, vision, and goals. Second, it should develop a detailed strategy that outlines the specific actions it will take to achieve its goals. Third, it should allocate the necessary resources to implement the strategy. Fourth, it should establish a system of monitoring and evaluation to track progress and make adjustments as needed. Finally, it should ensure that all employees are aware of the strategy and are committed to its implementation.

UNIT-8 Controlling

Q2. The practitioner is dealing with a management problem. (10 in the Matrix scale)	
The practitioner is dealing with a management problem as (name of the company) (name of the manager) (name of the customer)	
Must the columns	
Standards to gauge performance	
(i) Labour relations, Labour turnover, Labour absenteeism, etc.	(a) Production of business
(ii) Sales volume, sales expense, advertising, etc.	(b) Marketing
(iii) Sales performance, individual sales persons performance, etc.	(c) Human resource management
(iv) Capital expenditure, inventories, flow of capital, liquidity, etc.	(d) Finance and accounting
(v) Quantity, quality, cost, individual job performance, etc.	

Q2 Which term is used to indicate the difference between management and actual performance?

Ans. Variance

Q3 Explain the term 'The Senior Manager is the decision-maker in the organisation'.

Ans. The Senior Manager is the person who is responsible for preparing the performance reports of the subsidiaries as part of the appraisal. The step of the controlling process is performed by her is _____ (fill in the blank with a suitable answer)

Ans. Management and actual performance

Q4 A control technique should keep a check on each and every activity in an organisation. (True/False) (Give reason)

Ans. True
Reason: It is a matter of control from top to keep a check on the activities of the organisation. It is a technique to monitor the success of an organisation (KRA) which are undertaken by the various departments (KPA) which are undertaken by the various employees (KPA).

Q5 The term used to indicate the difference between management and actual performance is called _____ (fill in the blank with a correct answer)

Ans. Variance

Q6 Give any two standards that can be used by a company to evaluate the performance of its Finance & Accounts department.

Ans. 1) Financial performance
2) Capital expenditure
3) Planning is prescriptive whereas evaluation is (True/False) (Give reason)

Ans. True
Reason: Planning prescribes an appropriate course of action to achieve the desired results. Evaluation is a process of checking objectives, whereas controlling establishes the standards conforming to plans.

Q14. _____ the definition cannot be corrected through managerial action.

Ans. Standards that are not *(Complete the sentence)*

Q15. _____ identify the function of management which ensures that all resources are being used effectively and efficiently for the achievement of pre-determined goals. Explain its importance by giving any two points.

Ans. Internal Controlling

Q16. _____ is the function of management that helps in verifying whether the actual performance is in accordance with objective or not. Explain the process of internal controlling.

Ans. Controlling

Q17. _____ can help step in the controlling process is _____.

Ans. Setting performance standards.

Q18. _____ organisation serves as bench mark towards which all activities are directed. Fill in the blank with a standard.

Ans. Standard

Q19. When taken by a customer to place the order in a fast food chain having self-service is an example of _____.

Ans. Quantitative standards, (quantitative-qualitative) /fill in the blank with a correct option)

Q20. Revenue to be earned is an example of _____ (quantitative/qualitative) standard.

Ans. Quantitative

Q21. Time taken by a customer to collect the order placed by him at a fast food chain having self-service is an example of _____.

Ans. Qualitative standards, (quantitative-qualitative) /fill in the blank with a correct option)

Q22. A manager should try to set standards in precise quantitative terms to _____ (Complete the sentence).

Ans. Quantify

Q23. A manager takes direct comparison with actual performance much easier _____.

Ans. Standards should be flexible enough so that they can be modified to be suitable in the changed business environment. / Complete the sentence)

Q24. In the controlling process, one performance standard is set the next step is _____. (Complete the sentence)

Ans. Measurement of actual performance.

Q25. In the controlling process, there are several techniques for measurement of actual performance. These include, _____.

Ans. Personal observation, sample checking, performance appraisal. / Complete the sentence)

Q26. As far as possible, performance should be measured in the same units in which standards are set in _____.

Ans. Comparison state.

Q27. The constant comparison method should be done often than _____.

Ans. Fixed comparison method. One reason, lack of time./Fixed/One reason,

Multiple Choice Questions (MCQs) 8.2



- Q.1 Which of the following represents quantitative standards?
- Improving productivity
 - Increasing the morale of employees
 - Reducing the number of quality standards
 - None of these
- Q.2 Time taken by a customer to wait for a table in a fast food chain having self-service
- Time to be spent in performing a task
 - Time to be spent in performing a task
 - Time to be spent in performing a task
 - Time to be spent in performing a task
- Q.3 Individual job performance is the standards set to gauge performance in which one of the following functional areas of business?
- Production
 - Marketing
 - Finance and Accounting
 - None of these
- Q.4 HR department of an organisation, an increase of 5% in the labour cost may be more troublesome than 15% increase in postal charges. Which of the following has been highlighted above?
- Critical point control
 - Management by exception
 - Sample checking
 - None of these
- Q.5 Assigning deviation
- Assigning deviation
 - Assigning deviation
 - Assigning deviation
 - Assigning deviation
- Q.6 Sample checking
- Sample checking
 - Sample checking
 - Sample checking
 - Sample checking
- Q.7 While scrutinising the production records, it is found that rejection rate was 5% against the set standard of 3%. The reason for this deviation may be due to negligence of quality control staff. This action is part of which step in the controlling process?
- Establishing standards
 - Measuring actual performance
 - Comparing actual performance with standards
 - Correcting deviations
- Q.8 Measurement of actual performance
- Measurement of actual performance
 - Measurement of actual performance
 - Measurement of actual performance
 - Measurement of actual performance
- Q.9 Management by exception
- Management by exception
 - Management by exception
 - Management by exception
 - Management by exception
- Q.10 Critical point control
- Critical point control
 - Critical point control
 - Critical point control
 - Critical point control
- Q.11 In all organisations, for effective controlling, each piece produced must be checked to ensure that it conforms to quality standards. This is an example of which type of control?
- Sample checking
 - Performance reports
 - Management by exception
 - None of these
- Q.12 In large organisations, certain pieces are at random selected for quality. This technique of measurement of performance is known as
- Personal observation
 - Sample checking
 - Performance reports
 - Management by exception
- Q.13 Only significant deviations which go beyond the permissible limits should be brought to the notice of management. This is an example of which type of control?
- Critical point control
 - Management by exception
 - Sample checking
 - None of these
- Q.14 In large organisations, certain pieces are at random selected for quality. This technique of measurement of performance is known as
- Personal observation
 - Sample checking
 - Performance reports
 - Management by exception

Unit 8 Controlling

- Q.14 Which of the following is not a step in the process of Controlling function of management?
- Setting standards
 - Measuring actual performance
 - Comparing actual performance with standards
 - Correcting deviations
- Q.15 Some employees have been assigned the job of measuring the output of the organisation. They are applying different techniques for achieving this aim. Some of these are personal observation, sample checking etc. They are also trying to measure the output of the organisation in terms of the following standards.
- Establishing standards
 - Measuring actual performance
 - Comparing actual performance with standards
 - Correcting deviations
- Q.16 Which of the following is not a step in the process of Controlling function of management?
- Setting standards
 - Measuring actual performance
 - Comparing actual performance with standards
 - Correcting deviations

- Q.17 Which of the following is not a step in the process of Controlling function of management?
- Setting standards
 - Measuring actual performance
 - Comparing actual performance with standards
 - Correcting deviations
- Q.18 Which of the following is not a step in the process of Controlling function of management?
- Setting standards
 - Measuring actual performance
 - Comparing actual performance with standards
 - Correcting deviations

Assertion, Reasoning and Statement Based Multiple Choice Questions (MCQs) 8.2

1. Assertion (A): As far as possible, performance should be measured in the same units in which standards are set.
Reason (R): This would make their comparison easier.
- Both Assertion (A) and Reason (R) are true.
 - Both Assertion (A) and Reason (R) are false.
 - Assertion (A) is true and Reason (R) is false.
 - Assertion (A) is false and Reason (R) is true.
2. Statement I: In large organisations, certain pieces are at random selected for quality. This technique of measurement of performance is known as personal observation.
Statement II: In large organisations, certain pieces are at random selected for quality. This technique of measurement of performance is known as sample checking.
- Both the Statements I and II are correct.
 - Both the Statements I and II are not correct.
 - Statement I is correct and Statement II is not correct.
 - Statement I is not correct and Statement II is correct.
3. Statement I: Measurement of actual performance should be done after the task is completed.
Statement II: Whenever possible, measurement of work should be done during the performance.
- Statement I is correct and Statement II is not correct.
 - Statement I is not correct and Statement II is correct.
 - Both the Statements I and II are correct.
 - Both the Statements I and II are not correct.
4. Statement I: Some deviation in performance is inevitable and it should be expected in an organisation.
Statement II: Some deviation in performance is inevitable and it should be expected in an organisation.
- Both the Statements I and II are correct.
 - Both the Statements I and II are not correct.
 - Statement I is correct and Statement II is not correct.
 - Statement I is not correct and Statement II is correct.
5. Statement I: Deviations in key areas of business need to be attended more urgently as compared to deviations in certain insignificant areas.
Statement II: Control technique should keep a check on each and every activity in an organisation.
- Statement I is correct and Statement II is not correct.
 - Statement I is not correct and Statement II is correct.
 - Both the Statements I and II are correct.
 - Both the Statements I and II are not correct.
6. Statement I: Control should focus on key areas (KRA) which are critical to the success of an organisation.
Statement II: Control should focus on key areas (KRA) which are critical to the success of an organisation.
- Both the Statements I and II are correct.
 - Both the Statements I and II are not correct.
 - Statement I is correct and Statement II is not correct.
 - Statement I is not correct and Statement II is correct.
7. Statement I: Only significant deviations which go beyond the permissible limits should be brought to the notice of management.
Statement II: Only significant deviations which go beyond the permissible limits should be brought to the notice of management.
- Both the Statements I and II are correct.
 - Both the Statements I and II are not correct.
 - Statement I is correct and Statement II is not correct.
 - Statement I is not correct and Statement II is correct.

Step 2: Measurement of Actual Performance

Once performance standard are set, the next step is measurement of actual performance. Performance should be measured in an objective and reliable manner.

- > There are several techniques for measurement of performance. These include personal observation, sample checking, performance reports, accounting ratios etc.
- (i) **Performance reports** Measurement of performance of an employee may require preparation of performance report by his superior.
- (ii) **Accounting ratios** Measurement of a company's performance may involve calculation of certain ratios like gross profit ratio, net profit ratio, return on an operating area like marketing may be measured by considering the number of units sold, increase in market share etc., whereas, efficiency of production may be measured by counting the number of pieces produced and number of defective pieces in a batch.
- (iv) **Sample checking** In small organisations, each piece produced may be checked to ensure that it conforms to quality specifications laid down for the product. However, this might not be possible in a large organisation. Thus in large organisations, certain pieces are checked at random for quality. This is known as sample checking.
- > As far as possible, performance should be measured in the same units in which standards are set as this would make their comparison easier.
- > Wherever possible, measurement of work should be done during the performance. For instance, in case of assembling task, each part produced should be checked before assembling. Similarly, in a manufacturing plant, levels of gas particles in the air could be continuously monitored for safety.

Step 3: Comparing Actual Performance with Standards

This step involves comparison of actual performance with the standard. Such comparison will reveal the deviation between actual and desired results.

Comparison becomes easier when standards are set in quantitative terms. For instance, performance of a worker in terms of units produced per day can be easily measured against the standard output.

EXAMPLE Bobbit Machine Components Ltd. is engaged in manufacturing machine components. The standard output is 250 units per day per worker. The company had been successfully attaining this target until two months ago. Over the last few months, it has been observed that daily production in units between 200-210 units per worker. Thus, there is a deviation of 40-50 units per day per worker.

Step 4: Analysing Deviations

Some deviation in performance can be expected in all activities. It is, therefore, important to determine the acceptable range of deviation (called *Management by Exception*). Also, deviations in key areas of business need to be attended and management by exception should be used by a manager in this regard.

1. Critical Point Control

It is neither economical nor easy to keep a check on each and every activity in an organisation. Control should, therefore, focus on key result areas (KRAs) which are critical to the success of an organisation. These KRAs are set as the critical points. If anything goes wrong at the critical points, the entire organisation suffers.

EXAMPLE In a manufacturing organisation, an increase of 5 per cent in the labour cost may be more troublesome than a 15 per cent increase in postal charges.

2. Management by Exception (or Control by Exception)

Management by exception is an important principle/technique of management control based on the belief that *"an attempt to control everything results in controlling nothing"*.

Thus, only significant deviations which go beyond the permissible limit should be brought to the notice of management.

If the plans lay down 2 per cent increase in labour cost as an acceptable range of deviation in a manufacturing organisation, increase in labour cost up to 2 per cent should not be brought to the notice of the management. Minor deviations must be ignored. However, in case of major deviation from the standard (say, 5 per cent), the manager has to receive immediate action of management on a priority basis.

NOTE After identifying the deviations that demand managerial attention, these deviations need to be analysed for their causes. Deviations may have multiple causes for their origin, such as unrealistic standard, defective process, inadequacy of resources, structural drawbacks, organisational constraints and control factors beyond the control of the organisation. It is necessary to identify the exact cause(s) of deviation. Failing within, an appropriate corrective action might not be possible. The deviations and their causes are then reported and corrective action taken at an appropriate level.

Advantages of Critical Point Control and Management by Exception

- When a manager sets critical points and focuses attention on significant deviations which cross the permissible limit, the following advantages accrue:
- 1. It saves the time and energy of managers as they deal with only significant deviations.
- 2. It reduces the possibility of managerial mistakes. Thus, there is better utilisation of managerial talent.
- 3. The routine problems are left to the subordinates. Management by exception, thus, increases delegation of authority and increases morale of the employees.
- 4. It identifies critical problems which need timely action to keep the organisation in right track.

Step 5: Taking Corrective Action

The final step in the controlling process is taking corrective action. When the deviations go beyond the acceptable range, especially in the key result areas, it demands immediate managerial attention so that deviations do not recur again and standards are accomplished. However, no corrective action is required when the deviations are within acceptable limits.

Corrective action might involve training of employees if the production target could not be met. Similarly, if an important project is running behind schedule, corrective action might involve assigning of additional workers and equipment to the project and permission for overtime work. In case, the deviation cannot be corrected through managerial action, the standards may have to be revised.

Causes of deviation		Corrective action to be taken
1. Defective material		Change the quality specification for the material used
2. Defective machinery		Repair the existing machine or replace the machine if it cannot be repaired
3. Obsolete machinery		Undertake technological upgradation of machinery
4. Defective process		Modify the existing process
5. Defective physical conditions of work		Improve the physical conditions of work

Ans. Importance of controlling – Ensuring other are working towards the organisational goals and brings to light the deviations.

Ans. Importance of Controlling: (Explain)

(i) Making efficient use of resources

The above case highlights an important function of management.

Multiple Choice Questions (MCQs) 8.1

(a) Management
(c) Controlling
(b) Organising
(d) Coordination

(d) Improving employee motivation

theft etc. Which point of importance of control does this illustrate?

(a) Forward looking _____

(d) Controlling

Unit-8 Controlling

(a) Controlling is a goal-oriented function

(a) Name the function of management that controls the

100

Assertion-Reasoning and Statements Based Multiple Choice Questions (MCQs) 8.1

Multiple Choice Questions (MCQs) 8.1

Reason (R): Managers at all levels of management perform activities in their areas.

2. Assertion (A): Controlling is the last function

(c) Assertion (A) is true and Reason (R) is false

(a) Both Assertion (A) and Reason (R) are true

(d) Assertion (A) is false and Reason (R) is true

(c) Both the Statements I and II are correct.

(a) Statement I is correct and Statement II is incorrect.

(a) Statement I is correct and Statement II is incorrect

initiate corrective measures to ensure that even

Importance of Controlling

The controlling function measures progress towards the organisational goals and brings to light the deviations, if any, and indicates corrective action.

It, thus, guides the organisation and keeps it on the right track so that organisational goals might be achieved.

2. Making efficient use of resources

By exercising control, a manager seeks to reduce wastage and hoarding of resources. Each activity is performed in accordance with predetermined standards and norms. This ensures that resources are used in the most effective and efficient manner.

3. Ensuring order and discipline

Controlling creates an atmosphere of order and discipline in the organisation. It helps to minimise dishonest behaviour on the part of the employees by keeping a close check on their activities.

4. Improving employee motivation

A good control system ensures that employees know well in advance what they are expected to do and what are the standards of performance on the basis of which they will be appraised. It, thus, motivates them and helps them to give a better performance.

5. Facilitating coordination in action

Controlling gives the direction to all activities and efforts for achieving organisational goals. Each department and employee is governed by predetermined standards which are well coordinated with one another. This ensures that overall organisational objectives are accomplished.

6. Judging accuracy of standards

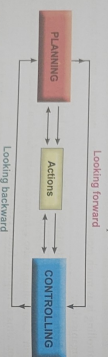
> An efficient control system keeps a careful check on the changes taking place in the organisation and in its environment and helps to review and revise the standards in light of such changes.

> A good control system enables management to verify whether the standards set are accurate and objective.

Relationship between Planning and Controlling

"Planning and controlling are inseparable twins of management."

They are mutually inter-related and inter-dependent activities. Planning seeks consistent, integrated and articulated programmes while controlling seeks to compel events to conform to plans.



Looking backward

1. Controlling takes place on the basis of certain standards developed by planning

The standards of performance which serve as the basis of controlling are provided by planning. If the standards are not set in advance, managers have nothing to control. In other words, without planning, there is no predetermined basis for judging the actual performance. Planning is clearly a pre-requisite for controlling.

Thus, controlling is blind without planning.

2. Planning without controlling is meaningless.

Once a plan becomes operational, controlling is necessary to monitor the progress, measure it, discover deviations and initiate corrective measures to ensure that events conform to plans. Thus, planning without controlling is meaningless.

Unit-8 Controlling

3. Planning is prescriptive whereas, controlling is evaluative.

Planning is basically an intellectual process involving thinking, articulation and analysis to discover and prescribe an appropriate course of action for achieving objectives. Thus, planning is prescriptive. Controlling, on the other hand, checks whether decisions have been translated into a desired action. Thus, controlling is evaluative.

4. Planning and controlling are both backward-looking as well as forward-looking functions.

It is often said - *"Planning is looking ahead while controlling is looking back."* However, the statement is only partially correct. Planning and controlling are both backward-looking as well as forward-looking functions.

Plans are prepared for future and are based on forecasting about future conditions. Therefore, planning involves looking ahead and is called a forward-looking function.

Controlling is like a postmortem of past activities to find out deviations from the standards. In that sense, planning is also a backward-looking function as it is guided by past experience.

Controlling is also a forward-looking function because the corrective action initiated by control function aims to improve future performance.

PLANNING AND CONTROLLING ARE INTERRELATED AND, IN FACT, REINFORCE EACH OTHER IN THE SENSE THAT:

(i) Planning based on facts makes controlling easier and effective and

Intertwined Fret! (ii) Controlling improves future planning by providing information derived from past experience.

Competency Based Questions 8.1

Q1. D&D Ltd. is a large manufacturing unit. Recently, the company has conducted the 'time' and 'motion' studies and concluded that on average a worker could produce 120 units per day. However, it has been noticed that average daily production of a worker is only 100 units. Which function of management is needed to ensure that the actual performance is in accordance with the performance as per time and motion studies? State four features of this function of management.

Ans. Controlling.

Q2. Super and Sulzer are managers in the same organisation having different units. While discussing the function of controlling, Super says, "Planning is looking ahead while controlling is looking back." But Sulzer says, "Planning is looking back whereas controlling is looking ahead." Both are giving reasons in favour of their statements. Explain the possible reasons given by both and justify who is correct.

Ans. Super says, "Planning is looking ahead whereas controlling is looking back" because:

- Plans are prepared for future and are based on forecasts about future conditions. In this sense, controlling is looking back because it is guided by past experience.
- One says, "72% of controlling is looking back because controlling is looking ahead" because:

- Planning is also looking back because the corrective action initiated by control function seeks to improve future performance or to revise future plans.

Q3. Although, planning and controlling are both backward-looking and forward-looking functions. Hence, both of them are partially correct. Identify the function and explain any two points of its importance.

Ans. Backward-looking.

Q4. Although, planning and controlling are both backward-looking and forward-looking functions. Hence, both of them are partially correct. Identify the function and explain any three points of its importance.

Ans. Forward-looking.



Section 8.1 Concept and Importance of Controlling;

Relationship between planning and controlling

Section 8.2 Controlling Process

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Controlling - Concept and importance	• Understand the concept of controlling. • Explain the importance of controlling.
Relationship between planning and controlling	• Describe the relationship between planning and controlling.
Steps in process of control	• Discuss the steps in the process of controlling.

8.1 Concept and Importance of Controlling; Relationship between planning and controlling

Concept of Controlling

Meaning of Controlling

Controlling is one of the important functions of a manager. In order to seek planned results from the subordinates, a manager needs to exercise effective control over the activities of the subordinates. Control is an indispensable function of management. Without control the best of plans can go away. A good control system helps an organisation in accomplishing organisational goals, making efficient use of resources, ensuring order and discipline, etc.

Controlling means ensuring that activities in an organisation are performed as per the plans.

DEFINITION OF CONTROLLING

Managerial Control implies the measurement of accomplishment against the standard and the correction of deviations to assure attainment of objectives according to plans.

—Koontz and O'Donnel

Nature/Features/Characteristics of Controlling

1. **Controlling is a goal oriented function:** Controlling ensures that an organisation's resources are being used efficiently and effectively for the achievement of predetermined goals. Controlling is, thus, a goal-oriented function.
2. **Controlling is an all pervasive (Top, middle and Operational Level) function:** Controlling function of a manager is a pervasive function. It is a primary function of every manager. Managers at all levels of management—top, middle and lower need to perform controlling functions to keep a control over activities in their areas. Moreover, controlling is as much required in an educational institution, military, hospital, and a club as in any business organisation.
3. **Controlling is both a backward looking as well as forward looking function:** Controlling is like a post-mortem of past activities to find out deviations from the standards. In that sense, controlling is a backward-looking function. Controlling is also a forward-looking function because the corrective action initiated by control function aims to improve future performance.
4. **Controlling is a continuous function:** Controlling is a continuous function as it involves a constant review of performance to ensure that activities in the organisation are performed as per the plans.

Controlling should not be misunderstood as the last function of management. It brings the management cycle back to the planning function. The controlling function finds out how far actual performance deviates from standards, analyses the causes of such deviations and attempts to take corrective actions based on the same. This process helps with formulation of future plans in the light of the problems that were identified and, thus, helps in better planning in the future periods.

Thus, controlling only completes one cycle of management process and improves planning in the next cycle.